LECTURE 2



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- All entrepreneurs are business people but not all business people are entrepreneurs.

- Entrepreneurs tend to be more innovative than ordinary business people and end up developing a business plans.

Starting small business

- 7 Keys to Success
  1. Idea Generation
  2. Funding
  3. Legal Issues
  4. Marketing
  5. The Business Plan
  6. You, the Entrepreneur
  7. Do your research

1- Generating a Business Idea

Identifying a Need

- A need can be an opportunity and indeed a consumer buys to satisfy need.
- Therefore identifying an unserved need is a sure way of generating business ideas.
- Entrepreneurs usually look for gaps in the growing markets, identifying market sections which are not being utilized.
- Listening to what People say.

□ Building on One's Skill, Hobbies or Interests

- ✓ Business ideas can be generated through:
  a. Personal interests and hobbies especially for craft entrepreneurs.
  b. Copying or improving somebody's ideas. (skills)

Brain Storming

- ✓ This is a process of detaching analysis of an idea from the actual ideas.
- ✓ The idea may or may not be related to a given product.
- ✓ In brainstorming even silly and stupid ideas may be generated.

Attribute listening

- This method of generating business ideas is based on changing the way one looks at something in order to find a new use for it.
- It attempts to answer the question – what do we do with this product.

Gaining from Waste

- What would appear waste can be used- say recycles to create a new opportunity.

Characteristics of a Good Business idea.

i. MARKET DRIVEN

Solve a problem, Find a market need

Customer focused not product driven

Target an *identified, sizeable* market segment

ii. FEASIBLE

Attractive –there is a demand

Achievable –it can be done

Durable –it lasts

Value creating –it is worth something

Safe

Affordable for target market

iii. UNIQUE

Differentiated, Faster

Better, Cheaper

iv. FUNDABLE

Revenue stream

Sustainable -Market exists with frequency of purchase

Growth potential

Product pipeline

Exit plan

v. *INNOVATIVE*

Invention

Extension

Duplication

Synthesis

vi. INTELLECTUAL PROPERTY

Copyrights

Trademarks

Patents

Trade Secrets

Ideas to Avoid

- Unfavorable industries
- Unfavorable markets
- One Hit Wonders
- Unsafe or illegal products/services

Sources of business ideas for entrepreneurs

i.)Consumers

- Potential entrepreneurs not only pay attention to potential customers but also monitor their potential needs through allowing the customers to express their opinions.

ii.)Existing products and services

- Through monitoring and evaluating competitive products and services.

iii.)Distribution channels

- Contact with members of the distribution channels since they are familiar with the needs of the market and give suggestions of new products and consumer needs.

iv.) Government

Can be a source of a business idea through

- The patent office which contains numerous product possibilities.
- Official government magazines
- Government regulatory bodies
- Government shows and exhibitions

v.) Research and development

Is the largest source of new ideas to the entrepreneur.

Conducting surveys and interviews of the people around.

Screening a Business Idea.

- After generating business ideas- it is important that some evaluation through a screening process be made.
- The screening process is a systematic evaluation ideas in order to select the best idea which would suit one.
- The screening process must be done carefully, objectively, and without any emotions.
- The business idea screening is required even when there is only one idea to consider. This is because this is a stage of starting a business that may be not be profitable or may be difficult to run

The screening process must therefore evaluate the following:

a) Personal Evaluation

- the objective for going to business
- personal interests
- The degree of commitment to the business or others e.g. family.

b) Personal Skills

- The self SWOT analysis – this aims at analyzing ones

- Strengths
- Weaknesses
- Opportunities
- Treats

c) Market evaluations

- The aim is to create assurance of adequate market
- The main components include:

i.) Consumer demand analysis

ii.) Product price and placements

iii.) No. of competitors in markets.

d) An analysis of availability of raw materials in terms of

- i) Adequacy ii) Reliability iii) Price

e) Analysis of providing technology in terms of

- i) Appropriateness ii) Affordability

f) An analysis of skills available

g) Analysis of the government policies.

SWOT Analysis

- "Strengths" and "Weaknesses" should focus on the internal environment (management, product/service), while "Opportunities" and "Threats" should focus on the external environment (economy, market and competitors).
- Clearly, it is important that your business idea has significant strengths (or can develop them) and a plan to counter to any weaknesses.
- Your business idea should be developed to take advantage of any opportunities and thought should be given to how you would respond to threats.
- A SWOT analysis should provide proof to you, your investors and funders etc., of the likelihood of your business succeeding or failing. If your analysis suggests it will fail you need to reconsider your idea.

- **Strengths:** E.g. Adequate finances, Good innovation ability, proven management, Availability of raw materials, Good skills.
- **Weakness:** E.g. Lack of key skill , Internal operations problems , Low morale , Poor track records , Weak internal image.
- **Opportunities:** E.g. A good market scope, An attractive return on investment (profit), Potential customers , Potential goodwill , A favorable social environment.
- **Threats:** Strong competitions , Adverse government policies, Political instability, mismanaged economy

Evaluation of Business Opportunities (objectives of a pre-feasibility study)

- Once a business opportunity has been identified one needs to confirm that it is viable through a pre-feasibility study.
- The main objective of a feasibility study is to determine whether.
- a-the investment opportunity is promising enough
- b-The project is viable from the marketing manufacturing and other points of view.

2- Funding

Essential to success of business

- Debt: Personal funds, Family & Friends, Credit Cards, Bank Loans, Federal & State Loans.
- Equity: Business partners, Venture Capital, Private Placement
- Hybrids

3- Legal Issues

- Legal structure
  - Sole Proprietorship
  - Partnership
  - Corporation
- Intellectual property
  - Patent
  - Copyright
  - Trademark
  - Trade Secret
  - Who owns it?
  - How is it protected?

4- Marketing

How do you get your message out on a small budget?

- Guerilla marketing
- Create a buzz that goes viral
- Social networks
- Promotion
- Branding

5- The Business Plan

- Road map
- Comprehensive document detailing the proposed venture
- Planning Tool describing events that may affect proposed venture
- Used in search for funds

The Business Plan:

- Vary in depth, detail, and quality
- Tech vs. low tech businesses

Contents

- Executive Summary
- Business Concept
- Industry/Market Analysis
- Operations
- Marketing Plan
- Management Team
- Risks
- Financial Plan
- Appendix

6- You, The Entrepreneur

- Build your network
- Prepare your resume
- Intern to gain experience
- Find a mentor
- Create a professional image
- Behave ethically
- Avoid burning bridges
- Learn to sell

7- Do your research

- Study your market
- Research the industry
- Know your competition –*And there is always competition*
- Project your financials –Cash flow, startup costs, break-even, revenue, etc.
- Research creates confidence and credibility

Characterization, structure and organization of pharmaceutical market

- The pharmaceutical market represents a part of the market of goods and services, sphere of interaction of subjects and objects which are influenced by a certain factors.
- Objects of the pharmaceutical market are consumers of medicines and the experts who appoint and give information in buying of medical products.
- Subjects are medical products, services, the Para pharmaceutical goods, ideas, the pharmaceutical information.

How to set up a pharmacy business?

- There are five simple steps to build up a pharmacy business:



1- Build a business plan
2- Secure Financing
3- Arrange for licenses
4- Select a location
5- Create a marketing plan

1- build a business plan

- It starts with a clear idea about the target consumer and the products or services they can offer.
- Next, this will determine the capital required for inventory and overhead costs like utilities, transport, space, staffing, manufacturing, and marketing.
- Finally, calculating selling prices to achieve a healthy profit margin needs creative business development.

2- Secure Financing

- To get a new venture successfully off the ground, business owners may have to secure funding from investors or raise capital with funding from a partner.
- When taking on a business loan, founders should be careful to avoid loan scams.

3- Arrange for licenses:

- Pharmacies and medication based business are generally heavily regulated.

4- Select a location:

The right location can significantly impact how much and how fast a new venture grows.

Founders who detect the right location for their pharmacy business can also broaden the scope for new partnerships with complementary business in the area.

5- Create a marketing plan:

- From logo design to website building, a sound marketing strategy is essential for a business to scale.
- However, finding the right team to execute marketing plan may be challenging, considering the requirements for specialized techniques like social media.
- Offline marketing also requires key leaders to network with other health organizations in the community to build a healthy referral process.


Thank you!